CHAPTER 1

How the Stock Market Works

Explained so simply a 10-year-old gets it

Same real concepts. Same real terms. Just told with pizza shops, playgrounds, scoreboards, and lockers — so the ideas actually stick.

Stock Market Mastery Roadmap • Beginner Level

Educational only — not investment, trading, or tax advice.

🍕 First, what is a "share"?

Imagine your friend Rahul opens a **pizza shop**. To buy the oven, the flour, and the cheese, he needs money. So he says: "I'll cut my shop into 100 tiny pieces. Anyone who buys one piece owns a little bit of my shop — and gets a little bit of the profit!"

Each tiny piece is a **share**. Buy 1 share out of 100 and you own **1% of the whole shop**. If the shop earns money, you get a slice of that money too. That's it — a share is a **small piece of ownership in a company** (the grown-up word is **equity**).

> **WHY DO COMPANIES SELL SHARES?**
> To collect money to grow — buy machines, open new shops, hire people — *without* borrowing from a bank. They give away tiny pieces instead.

🏪 Two markets: "brand-new" and "second-hand"

Primary market — buying straight from the company. The very first time Rahul sells his 100 pieces to the public, it is called an **IPO (Initial Public Offering)** — the company's first-ever share sale. Like buying a **brand-new toy** from the shop, the money goes to the shop.

- **IPO** = the *first* time a company sells shares.
- **FPO** = the company sells *more* shares later (a second helping).
- **OFS / Rights Issue** = other ways shares are offered.

Secondary market — buying from another person. After the IPO, if you own a piece and a friend wants it, you sell it to *him*. Rahul isn't involved anymore. Like **selling your old toy to a friend** — the money goes to *you*. This everyday buying and selling is what people call "trading."

🎪 Who runs the whole game? (The Ecosystem)

The stock market is a **giant, super-organised playground**. Many helpers keep it fair and safe:

Helper	Real Name	What they do
🏟️ The Playground	Exchange (NSE, BSE)	The marketplace where everyone meets to buy and sell. India's two big ones are **NSE** and **BSE**.
👮 The Referee	SEBI	The strict teacher who makes sure **nobody cheats or lies**.
🔐 The Locker Room	Depository (NSDL, CDSL)	A giant digital safe that **holds everyone's shares** so they can't get lost.
🎒 Your Own Locker	Demat Account	Your personal locker inside that safe, where *your* shares live.
🤝 The Honest Middle-Friend	Clearing Corporation	Makes sure both people in a swap **actually get what they're owed** — nobody runs off without paying.
🏃 Your Helper	Broker	Places your buy/sell orders *for* you — like a sibling running to the shop for you.

👥 Who are the players?

- 🧒 **Retail** — regular small people like you and me.
- 🤵 **HNIs** — very rich people who bring big pocket money.
- ✈️ **FIIs / FPIs** — big investors *from other countries*.
- 🐷 **DIIs** — big Indian piggy banks like **mutual funds** and insurance companies.
- 🤖 **Prop desks & market makers** — fast professional traders (some using computers) always buying and selling.

Knowing *who* is playing helps explain *why* prices move — when the big foreign visitors (FIIs) arrive or leave, the whole playground feels it.

📊 What is an "Index"? (The Scoreboard)

An **index** is like a **scoreboard** showing how the big, important companies are doing all together — so you don't have to check thousands of companies one by one.

- 🏆 **Nifty 50** — scoreboard of the **50 biggest** companies.
- 🏆 **Sensex** — scoreboard of the **30 biggest** companies.
- 🏦 **Bank Nifty** — scoreboard of just the **big banks**.
- **Nifty Next 50 / sectoral indices** — scoreboards for other groups.

> **THE HEIGHT TRICK: WHY BIG COMPANIES COUNT MORE**
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> Imagine your class works out its **average height**. If the 3 *tallest* kids jump up, the average jumps a lot — the short kids barely change it. In the same way, **huge companies move the scoreboard more**. This is called **free-float market cap weighting**. And the surprise: it is **not the share's price** that makes a company "big," but its **total size** (price × tradable shares). A ₹100 share can belong to a much bigger company than a ₹5,000 one!

🚚 What happens when you press "BUY"? (Trade Lifecycle)

Buying a share is like **ordering food on an app**. Here is the journey:

- **1. Order** 📱 — you tap "Buy 1 share" in your app.
- **2. Matching Engine** 🧲 — a super-fast computer finds someone who wants to *sell* at your price and matches you.
- **3. Trade** ✅ — match made, the deal is done.
- **4. Clearing** 🧾 — the honest middle-friend checks everyone's money and shares are ready.
- **5. Settlement (T+1)** 📦 — the shares actually arrive in *your* locker — the **next day**.

> **WHAT DOES "T+1" MEAN?**
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> It means **Trade day + 1 day**. Buy a share **today**, and it officially lands in your locker **tomorrow**. Shares don't teleport the instant you order — just like food doesn't appear the second you tap "order."

🧠 A few key ideas to remember

- **Free-float market cap** decides scoreboard weight — *size matters, not price.*
- **T+1 settlement** — buy today, truly yours tomorrow.
- **Circuit limits (price bands)** 🚦 — a **speed limit for prices**. If a stock zooms up or crashes down too fast, the game **pauses**. The pause points are the **upper circuit** (too high) and **lower circuit** (too low).
- **Market-wide circuit breaker** — if the *whole* scoreboard crashes too hard in a day, the **entire playground closes for a break**.
- **Broker vs Exchange vs Clearing Corp** — your *helper* vs the *playground* vs the *honest middle-friend*.
- **SEBI protects you** — by forcing companies to tell the truth and banning cheating like **insider trading** (using secret information).

PRACTICAL EXERCISES

- 🎨 **Draw the journey** of a "Buy" order from your phone to your locker, naming every helper it passes.
- 🔍 **Open the NSE India website**, find the **Nifty 50** list, and write the **top 5 biggest companies**. Which business type appears most?
- 📰 **Find one recent IPO** in the news. Note its **issue price** and its **listing price**. Did the first buyers win or lose?
- 🗣️ **Explain to a friend** (or write 150 words): how can the scoreboard go UP even when most stocks go DOWN? (Hint: a few giants!)

REAL-WORLD APPLICATION

- 🏦 **Bank Nifty jumps around a lot** because a *handful of giant banks* control its scoreboard. When they move, the whole index leaps — this matters a lot for Futures & Options (F&O) later.
- ⏳ **Knowing T+1** stops the beginner mistake of thinking you can sell or gift shares the *instant* you buy them. You must wait for them to settle.

BEGINNER MISTAKE TO AVOID

Don't confuse **"the market"** with **"the index."** The Nifty is just **50 big companies** weighted by size — it is **NOT** a vote of *all* stocks. So "Market went up today!" only means those big 50 went up. **Your own profit or loss comes from YOUR shares** — not the headline number. The scoreboard can smile while your team is losing. Always watch *your* holdings. 💪

ONE-LINE SUMMARY

A share is a slice of a company. You buy and sell slices in a safe, refereed playground (the **exchange**); a **broker** places your order; an honest **clearing corporation** makes the swap fair; and your slices live in your **demat** locker — arriving one day after you buy them.